

Intellectual Proprietary Trade Secret Information

The content of the materials below constitutes Proprietary Trade Secrets of EUS under federal and state law. See, e.g.: ORC 1333.61 et seq. Any use of the information contained herein except by EUS shall constitute misappropriation and result in EUS seeking appropriate remedies, including injunction against any use, damages and attorney fees.

Letter of Intent by Brecksville-Broadview Heights City Schools to Effective Utility Services II to Develop an Agreement for the Installation of an Energy Efficient LED Lighting Retro-fit

The intent of the EUS II Utility Cost Reduction program is to reduce Brecksville-Broadview Heights City Schools' cost of electric energy without the expense of buying, owning or operating electric lighting equipment.

Infrastructure

Equipment: Effective Utility Services II, LLC will design, build, own, operate and maintain the equipment. Including interior lighting at the High School Auditorium, 6380 Mill Road and Middle School Auditorium, 6376 Mill Road, Brecksville, OH 44147.

Costs:

Deposit \$12,000 – Refundable at End of Term

Energy Conditioning Fee: kWh price paid by the School to EUS for energy passing through the equipment. Monthly minimum kWh of approximately 300,000-kWh at a Conditioning Fee (CF) of approximately 1.46¢/kWh. After surpassing the maximum kWh of 18,000,000, the Conditioning Fee will be reduced to approximately 0.48¢/kWh. (Prepay option approximately \$239,000)

Early Termination: Early termination fee is calculated by multiplying the annual minimum
And Purchase Option kWh times the total number of years in the Agreement, less years and portions thereof completed, plus 2-years. In formula, buy-out = annual conditioning fee x (contract length – years and portions of years completed + 2).
Option to purchase is 50% of the final year termination fee.

Preliminary Payment Terms:¹

Deposit: If, upon execution of this LOI, and the School elects not to proceed, the School will pay EUS' expenses to date; not to exceed \$5,500. Expenses include engineering, legal, travel and administrative and will be documented for the School's review.

Conditioning Fee Services Billing: Monthly
Agreement Term: To be determined. Above CF based on 5-years.
Maintenance: During the term of the agreement, all maintenance and repair provided by EUS II.

Agreement¹ The Agreement will be completed concurrent with preparing preliminaries such as Requirements and site work protocols.

IN WITNESS WHEREOF, the Parties, by their duly authorized representatives, have executed this Letter of Intent as of the Signature Date.

Effective Utility Services II

Brecksville-Broadview Heights City School District

By: _____

By: _____

Name: Michael D. Spacek, PE

Name: _____

Title: Director of Energy Services

Title: _____

Date: _____

Date: _____

¹Agreement predicated upon financial review. ²This LOI is valid until December 31, 2019